

New Paradigm of Competitiveness: Manufacturing Competitiveness through Clean Energy and Energy Efficiency

That brings me to another area of critical concern related to climate change. Globally, energy constitutes the largest source of emissions contributing to global warming. India's challenge here is manifold. On the one hand, energy consumption needs to increase to fulfill India's developmental requirements as well as enlarge employment and income opportunities. On the other, affordable clean energy solutions are required to create a cost competitive low carbon economic environment. A larger emphasis on renewable sources is therefore imperative.

The National Action Plan on Climate Change has launched several Missions to address this extremely challenging task. The National Missions on Solar Energy, Enhanced Energy Efficiency, and Sustainable Habitats contain specific measures to move towards a low carbon strategy of growth. A huge task of this dimension necessitates differentiated responsibilities towards achieving a shared goal of drastic carbon reduction. At the global level, Governmental efforts are focused on securing affordable clean energy, strengthening carbon market mechanisms and exploring other multilateral funding options for adaptation and mitigation. At the national level, business and industry will need to play a major role by adopting an aggressive carbon reduction strategy.

The new paradigm of competitiveness makes it incumbent on businesses to progressively reduce its overall carbon footprint. Sustained manufacturing competitiveness will require an aggressive strategy to reduce specific energy consumption. Demand side management of energy needs to focus on investments in green buildings, energy efficient lighting and appliances, building insulation and so on. Dependence on fossil fuel based energy must be progressively reduced in favour of renewable energy options, which need to be made more competitive through innovation.

It is indeed a matter of pride that a conscious strategy to shrink your Company's carbon footprint has today positioned it more securely for the carbon sensitive economy of the future. Energy efficiency practices of your Company have resulted in achieving world-class standards of energy utilisation in several units. Through a rigorous process of audits supported by benchmarking, specific energy consumption has been reduced year on year. These annual reductions ranging from 4 to 14 % encompass both manufacturing facilities as well as your Company's hotels.

These carbon reduction measures have enabled your Company to register **8 projects under the Clean Development Mechanism of the Kyoto Protocol**, including the one on Social Forestry. Apart from earning carbon credits, your Company has more importantly demonstrated world-class practices in energy conservation. It is a matter of singular distinction that **ITC Sonar in Kolkata is the first hotel in the world to earn carbon credits.** ITC Green Centre in Gurgaon is the world's first largest green building with a LEED Platinum rating. This distinction brought the **US Secretary of State Hillary Clinton to visit the ITC Green Centre** as a symbol of green collaboration between the United States and India. She said that this green building is a "monument to the future".

In keeping with its commitment to utilise an increasing component of renewable energy, over 30% of the total energy consumed by your Company today is from renewable sources and carbon neutral fuels. ITC has set up a **14 MW wind energy facility** to provide power to its packaging unit in

Chennai. Additional investments in wind energy, totaling over 25 MW, are in the process of implementation to supplement the power requirements of ITC's Hotels in Mumbai and Chennai. In addition, your Company is installing a green boiler at its Paper unit that will use internally generated wood waste as an input. This will not only help in replacing fossil fuels with renewable sources but also generate substantial savings from the utilisation of biomass waste. On implementation of these projects, together with the continued utilisation of co-generation, your Company will have created new benchmarks in Renewable Energy use and Energy Efficiency.

Your Company also turned **solid waste recycling positive** during the year. ITC not only recycled almost all the solid wastes generated by its units but also procured and recycled over 125,000 tonnes of waste paper. ITC's Wealth Out of Waste initiative (WOW) has established an efficient collection and recycling chain, targeting large sources of aggregation such as schools, offices, residential colonies and apartments. This initiative contributes to a



cleaner environment and also serves as an important source of long-term cost competitiveness for the business.

The strengthening of the 'green capacity' of your Company, with all the initiatives I have outlined, positions it with an additional source of competitive advantage in the carbon sensitive global economy of tomorrow.

NEW PARADIGM OF DEVELOPMENT AND COMPETITIVENESS : ALIGNING FORCES

The demands on businesses today to achieve a low carbon growth strategy that is also sustainable and inclusive, often makes it a tall order to follow. The primary reason is that markets seldom reward such long-term endeavours. Markets, as they are constructed today, are attuned primarily to reward financial performance irrespective of its carbon efficiency or capability to create sustainable and inclusive growth.

As recent global events have shown, markets on their own cannot be expected to deliver the imperatives of sustainable development. Therefore, it is time to craft a new path that places a premium on sustainable development. This obviously requires a completely new set of drivers and an enabling institutional framework. To my mind, it is no longer a matter of choice. No single organ of society, be it the Government or Business, can meet the challenges on its own. These challenges can only be met by all sections of society joining hands to build a new paradigm of development. A new paradigm that creates new market drivers to propel sustainable growth strategies.

To my mind, there are two important drivers that will enable a paradigm change :

- First and foremost is the imperative need to align policies and regulations to encourage the conduct of business in a manner that results in the achievement of a positive carbon footprint and also supports the creation of societal capital. If differentiated

